

The Retirement Income Challenge

The process of building a retirement income strategy involves determining how to best combine retirement income tools to optimize the balance between meeting various retirement goals and effectively protecting your goals from retirement risks. Building an optimal strategy is a process, and there is no single right answer. No one approach or retirement income product works best for everyone. Different people will approach the problem in different ways, as some will feel affinity for solutions connected with managing withdrawals from an investment portfolio, while others will begin from a desire to build income guarantees. The objective becomes to flesh out the details for how each income tool could contribute, quantify the advantages and disadvantages of different strategies, and determine how to best combine the income tools into an overall plan.

Exhibit 1.3 shows the retirement income planning problem as a series of concentric circles. I call it the retirement income challenge. The innermost circle summarizes the overall process for retirement income. At the center, we must combine income tools to best meet goals and balance risks.

Exhibit 1.3

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